

Advanced Positioning, Flow, and Sentiment Analysis in Commodity Markets

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This book focuses on Positioning Analysis. It is based on new material, but also updates and builds significantly on some of the work in the previous book, *Positioning Analysis in Commodity Markets – Bridging Fundamental and Technical Analysis*, by Mark Keenan.

New material includes analytics based on the analysis of flow, the decomposition of trading flows, trading activity in the Chinese commodity markets, the inclusion of newsflow into Positioning Analysis, and how machine learning can provide insight into trading relationships.

This chapter introduces Positioning Analysis and positioning data and addresses some of the more common misunderstandings and issues in this area.

1.1 Positioning Analysis – What Is It?

Positioning Analysis is one area of research that provides a powerful framework to better understand price dynamics, risk, sentiment, and behaviour in commodity markets.

Based on standard positioning data and bridging aspects of fundamental and technical analysis, the approach builds on how certain types of positioning patterns – both within the data and in the context of changes in variables like price, curve structure, fundamentals such as inventory, seasonal factors, exchange rates, changes in the broader macroeconomic environment, and the levels of risk and uncertainty in the market – can be used to develop models, indicators, and analyses. These lead to the generation of robust trading signals that can be either used directly or integrated into a variety of different trading, investment, and risk management programmes to enhance performance.

Positioning data shows us who is trading what, and how much they are trading. Positioning Analysis helps us identify behavioural patterns in the data and to understand how changes in specific variables can affect positioning, impact sentiment, and drive price.

1.1.1 Positioning Data

Positioning data in commodity markets is generated by attributing exchange-traded futures and options positions between specific groups or categories of traders. It gives an idea of what each category of trader has been doing and the extent to which they have done it.¹

Positioning data is the breakdown of open interest on a weekly basis, between traders in each category according to their long, short, and, where reported, spreading positions. Futures open interest and combined futures and options open interest are typically reported separately, with the options positions reported on a delta-adjusted basis. Only reportable positions, defined as those positions that exceed specific reporting thresholds, are broken down, meaning that between 70% and 90% of open interest, on average, is categorised. The remaining positions are reported as a single group called non-reportables. Importantly, positioning data also includes the number of traders in each long, short, and spreading category.

1.1.2 Positioning Analysis – Bridging Fundamental and Technical Analysis

The analysis of changes in positioning data – Positioning Analysis – makes it possible to define behavioural responses, quantify shifts in sentiment, isolate specific types of flow patterns, and develop tools and signals for better trading, investment and risk management.

In this respect, it is like technical analysis but with more emphasis on behavioural patterns. In many cases, behavioural patterns take a long time to change, so understanding how traders have behaved in the past with the help of Positioning Analysis allows useful decisions to be made in the future.

¹The terms ‘trader groups’ and ‘trader categories’ are used interchangeably through this book.

Positioning Analysis bridges fundamental and technical analysis in two ways; firstly, it is agnostic to whether a position was established because of a fundamental or technical reason; and, secondly, insights from Positioning Analysis can be used to enhance both fundamentally and technically driven trading strategies.

1.1.3 Positioning Signals, Indicators, Models, and Analyses

Positioning Analysis makes up a substantial proportion of this book and COT data is therefore used extensively.

Most of the trading signals, indicators, and models in this book use speculative positioning data. This has been done both in the interest of space and also because the motivation behind the data is intuitive, meaning that we understand speculators are seeking to profit from their trading, as opposed to it being a function of hedging activity. Unless otherwise specified, all the signals, indicators, models, and analyses in this book can be applied to the positioning data in other trader groups to help formulate a complete picture of the overall positioning landscape in a commodity. In doing so, however, an understanding of the trade motivation behind all the different trader categories is essential in helping to gauge how price, curve structure, and sentiment may evolve.

The ideas, insights, and concepts behind the signals, indicators, models, and analyses, collectively the ‘analytics’, in this book have been developed over the last 20 years by the author. In many cases, their construction is unique, but in all cases, the approach is robust, intuitive, and accessible to commodity market participants and risk managers on a variety of levels.

A sizeable proportion of the analysis in this book is open to interpretation, and there are often a variety of different conclusions that can be drawn from the data with different ways to respond. Commodity price action driven by positioning dynamics is often linked to sentiment and behavioural patterns, which can change and evolve over time. This can lead to the formation and establishment of new patterns and relationships as different types of market participants enter and leave the market, and as new price drivers emerge.

This book provides a wide range of different analytics to help understand positioning dynamics and to track how relationships evolve. It is important to note that the analytics, how results and data are interpreted, and what conclusions are drawn throughout this book are by no means exhaustive or final.

Significant literature and several excellent books already exist that cover many of the areas of how positioning data is defined and generated.² The aim of this book is not to re-do this work in any capacity, but is instead to establish and develop Positioning Analysis as a trading, investment, and risk management tool.

In Chapter 2, however, a complete overview of how positioning is broken down on every level for a commodity is given. Section 2.1 is vital as it shows how different positioning categories are related to each other. Appendix 2, taken directly from many of the official sources including the CFTC, the ICE, and the LME, also provides valuable information.

²Including: *The Commitments of Traders Bible: How to Profit from Insider Market Intelligence* by Stephen Briebe; *Commitments of Traders: Strategies for Tracking the Market and Trading* by Floyd Upperman; and *Trade Stocks & Commodities with the Insiders – Secrets of the COT Report* by Larry Williams.

1.2 The History of Positioning Data, the COT Report, and the Agencies that Provide the Data

The Commodity Futures Trading Commission (CFTC) website explains that positioning data in commodities has been around since 1924 when the Grain Futures Administration of the US Department of Agriculture (USDA) published its first comprehensive annual report of hedging and speculation in regulated futures markets.^{3,4}

In 1962, positioning or commitment of traders (COT) data, as it became referred to, was published each month. In 1990, the CFTC started publishing data mid-month and month-end, in 1992 every two weeks, and then in 2000 on a weekly basis. Current and historical COT data is now available on the CFTC website, going back to 1986 for futures-only reports, to 1995 for futures and options combined reports, and to 2006 for the supplemental and disaggregated reports. A more detailed history of the CFTC COT data is also given in Appendix 1.

In addition to the COT data published by the CFTC, almost identical COT data is published by the Intercontinental Exchange (ICE) for the commodity markets traded on the ICE. The ICE includes markets like Brent and gasoil.

The London Metal Exchange (LME) also publishes a COT report for industrial metals which, as shown in Section 2.2, has some significant differences to the CFTC and ICE COT reports. The Shanghai Futures Exchange (SHFE) publishes a form of positioning data called Daily Ranking data, where the volume and open interest (long and short) rankings, including changes from the previous day, are reported for the top 20 members in each commodity.⁵ This data is, however, entirely different from the CFTC, ICE, and LME COT reports and is covered briefly in Section 2.3.2.

1.3 Misunderstandings and Issues in Positioning Analysis

Positioning data can provoke strong opinions about its validity and usefulness – and is therefore not unlike technical analysis in this respect. This occurs even though it is widely accepted that information relating to the trading activity of competitors and other market participants can be useful and can provide an edge in most areas of business and finance.

Many of the more idiosyncratic issues and misunderstandings in positioning will be covered in detail throughout the book, but in this section, it is useful to address some of the more significant and more widespread issues at the outset.

There are four primary areas of concern:

- The issue of lag. This specifically refers to the time between when the open interest is broken down, and when it is reported.

³The USDA's Grain Futures Administration was the predecessor to the USDA Commodity Exchange Authority, which in turn was the predecessor to the Commodity Futures Trading Commission (CFTC).

⁴The Commodity Futures Trading Commission (CFTC) was created by Congress in 1974 as an independent agency of the federal government to administer the Commodity Exchange Act (CEA). www.cftc.gov

⁵Each member is reported as a numeric code: www.shfe.com.cn/en/MarketData/dataview.html?paramid=week.

- The issue of trader classification. This relates to how traders are classified – a critical component in Positioning Analysis.
- The motivation behind the positions. Being able to disentangle positions to try and understand the underlying objective and motivation behind a trader category's position can be challenging.
- Concerns about the 'age' of positions, although this becomes less of an issue when looking at changes in positioning, rather than absolute levels.

1.3.1 The Issue of Lag

In finance, and specifically in trading and investment-related areas, lag generally refers to the delay between when data was measured and when it is reported. This type of lag is structural and is typically present in all kinds of data to some degree. Unfortunately, the word 'lag' does, however, imply that the data has in some way been compromised or is less valuable in some way, thereby inferring that un-lagged data would be more useful. Whilst this may be the case, if un-lagged data does not exist, the issue of lag becomes less of an issue as all positioning data is released to all market participants at the same time. Any sense that that data has therefore been compromised in some way, perhaps by some market participants being aware of the data beforehand, is not valid. In this respect, positioning data is like corporate earnings data or macroeconomic data.

This stands in contrast to most types of fundamental data, like inventory data, imports, exports, crop status reports, and certain types of transport data, where typically those entities that either report it or that make up the data have a good idea of the data beforehand. Firms that own storage or warehouse facilities, for example, will know their inventory or stock levels (and invariably also be aware of that of their competitors) before the agencies that collect it and release it to the public.

In this sense, fundamental data, whilst also structurally lagged, has also been compromised.⁶ Positioning data is in fact one of the only data sources in commodity markets where all market participants are equal in how and when they receive the data. The main lag-related issue arises from whether the data has changed between its measurement and its release – a problem common to most types of data. With positioning and sentiment often intertwined, as discussed in many of the following chapters, one of the most powerful linkages between positioning and price comes from changes in sentiment, which tend to be driven by trends in positioning rather than precise positioning levels. Positioning data also generally exhibits positive serial correlation as positions can take time to unwind and change. Overall, this makes the structural lag in positioning data less critical than in other types of data where sentiment is less important.

⁶This is often given as a reason to explain why physical commodity traders and merchants (commodity trade houses) are considered more successful than hedge funds and speculators, which typically only have a lagged window into the physical world. This is not to say that the analysis of fundamental data is therefore not valuable in commodity market analysis, but rather that it is hypocritical to dismiss positioning data simply because it is structurally lagged.

1.3.2 The Issue of Trader Classification

Positioning data is based on the categorisation of traders, rather than the aim or motivation behind their trades. This means that a producer using futures to hedge production, but that may also have a speculative trading book, will be classified as a Producer/Merchant/Processor/User (PMPU) trader, irrespective of whether a specific trade is initiated for hedging or speculative purposes. This can sometimes lead to confusion when trying to interpret positioning activity. It is especially important to be aware that positions may not always be consistent with the trader's category definition.

Appendix 2 details the official trader categories used in the COT reports. For ease of reference, an extract from the CFTC website for the categories used in the CFTC Disaggregated COT report (and those most frequently used throughout this book) is given in Box 1.1.

Box 1.1 Disaggregated COT categories

Producer/Merchant/Processor/User (PMPU)

A 'producer/merchant/processor/user' is an entity that predominantly engages in the production, processing, packing, or handling of a physical commodity and uses the futures markets to manage or hedge risks associated with those activities.

Swap Dealer (SD)

A 'swap dealer' is an entity that deals primarily in swaps for a commodity and uses the futures markets to manage or hedge the risk associated with those swap transactions. The swap dealer's counterparties may be speculative traders, like hedge funds, or traditional commercial clients that are managing risk arising from their dealings in the physical commodity.

Money Manager (MM)

A 'money manager', for the purpose of this report, is a registered commodity trading advisor (CTA); a registered commodity pool operator (CPO); or an unregistered fund identified by CFTC. These traders are engaged in managing and conducting organised futures trading on behalf of clients.

Other Reportables

Every other reportable trader that is not placed into one of the other three categories is placed into the 'other reportable' category.

Source: Based on data from www.cftc.gov/MarketReports/CommitmentsofTraders/index.htm.

1.3.3 The Motivation Behind the Positions

While the disaggregated COT category definitions are mostly well defined, it can sometimes also be difficult to know how a trader is categorised, and changes in positioning within a specific category can sometimes also be confusing and difficult to interpret. A Swap Dealer (SD), for example, could be hedging its exposure to a crude oil swap that may be for a consumer or producer; or it could be for a hedge fund, particularly with many hedge funds trading swaps to avoid futures position limits.

A few of the most common sources of confusion, as well as some important characteristics of each of the categories, are highlighted in more detail below. The more idiosyncratic aspects of positioning are discussed throughout the book as they arise.

1.3.3.1 The PMPU Category – Not Always Hedging A sizeable proportion of the PMPU category are consumers and producers, but it is possible (and often quite common) for them to engage in a degree of speculative activity, as speculative trades at the outset often become part of legitimate hedging trades later. Speculation may occur in timing the market, to try and capture the lowest (highest) prices to strike a hedge, or in changing the hedge quantity based on a price outlook to maximise or optimise the profitability or efficiency of the hedge. The flexibility in timing will invariably still be subject to a specific overall timeframe (usually linked to some logistical constraint such as loading time of a vessel or the transport time), and flexibility on the hedge quantity will often be driven by accounting or risk management policies in terms of how much ultimately should be hedged. Maximising the profitability of the hedge is a type of speculation which has the effect of making changes in PMPU positioning more sensitive to price than they would otherwise be expected to be. In contrast, a PMPU trader hedging with zero speculation would, for instance, initiate or lift a fixed or predetermined hedge when the physical deal is done, without acknowledgement of the market outlook and at the current price level.

It is important to be aware that, aside from trying to optimise the efficiency of the hedge, PMPU traders are mostly seeking to make money out of the physical commodity, or a product related to the physical commodity. Overall, the hedge is expected to lose money; therefore, positioning often runs counter to price trends in the market. A hedging loss should, therefore, typically suggest that the overall trading activity was profitable.⁷

An understanding of hedging dynamics and their rationale can make the analysis of positioning data in the PMPU category a powerful indicator of price direction. Despite seeking to make money out of the physical commodity, changes in positioning can be highly informative. An increase, for example, in the long (short) positioning in the PMPU category could suggest that consumers (producers) believe that prices have bottomed (topped), indicating a good level to hedge or to undertake a physical trade.

It is often assumed that physical trading activity is not very opportunistic in nature, as supply and demand dynamics are always under way, and positioning patterns in the PMPU category are therefore always relatively rigid. This assumption is driven by a variety of commercial relationships. Airlines, for example, do not just fly when fuel prices are low, deep-water oil production

⁷This is also the case because it is rare for a consumer or producer to hedge their entire commodity price liability.

rigs do not just produce oil when it is profitable, and Easter egg demand does not halt if cocoa prices are too high.

In reality, however, physical trading is more opportunistic than expected, a trend that is arguably increasing. A mine, for example, increases (decreases) supply when prices are high (low) as they become increasingly more efficient and more automated. With the recent growth of shale oil production, oil producers are also taking price increasingly more into account as they seek to optimise drilling and fracking activity – shale oil production is more closely related to manufacturing than to conventional oil production. Changes in price can therefore drive changes in physical trading activity, which in turn can drive more price-sensitive PMPU activity.

This is also particularly evident in the context of inventory management. As prices change and as the forward curve shifts, traders will optimise storage to take advantage of prices and the price outlook. As crude oil (WTI) inventories rise (fall), the size of the short PMPU position usually rises (falls). Any optimisation around these hedges, for example a decline in the PMPU short position, can often point towards a potential decrease in stocks.

The PMPU category is a complex category, but the visibility and access of PMPU traders into the physical world, in contrast to most of the speculative community, can, however, make changes in PMPU activity disproportionately informative.⁸

1.3.3.2 The MM category – Not Always Speculating In the same way that a PMPU trader may engage in speculative activity, a MM trader may engage in hedging activity.

A macro fund trading equities, for example, might sell crude oil (WTI) oil futures to hedge against downside oil price risk in a portfolio of US energy stocks.

In a similar way, a commodity fund will end up selling crude oil (WTI) futures to express a bullish view on a crack (a trade seeking to profit from the spread between related products, such as gasoline and heating oil to crude oil) or because they expect it to fall more (rise less) than Brent in an arbitrage trade. These trades are a departure from pure directional speculation, and may not be bearish on an absolute basis, but are bearish on a relative basis with the short position in crude oil (WTI) behaving like a hedge. This type of trading activity can make MM analysis more complicated.

The MM category can also be clouded by index activity and ETF trading. A trader replicating a commodity index with futures, in either a long or a short capacity, will typically fall under the MM category.⁹ A commodity pool operator (CPO) managing an ETF, such as the US Oil Fund, designed to track the price of crude oil (WTI), will need to hedge its exposure in the futures market according to the demand for the ETF.

⁸In many cases, a physical trader, for example a commodity merchant, may also speculate on the price of a commodity with no underlying physical exposure to the commodity. This type of speculative activity clearly clouds this category, but due to their visibility into the physical market, their speculative trading activity can be considered different from the speculative activity in the MM category, with limited visibility into the physical market. Whilst this activity may question the accuracy of the PMPU classification, the PMPU positioning is nonetheless equally valuable. It could be argued, for example, that a speculative trade taken by a physical trader could be disproportionately informative. Depending on how the trade house is structured, this type of trading activity can also be reported in the OR category.

⁹If they were, however, to buy the same index from a bank via swap, then the bank would be classified as a SD.

Index investment activity, and to a certain extent ETFs, are often longer-term investments as part of long-term asset allocation strategies. These positions can be vulnerable to change as portfolios rebalance, meaning that changes in positioning may not be directly driven by market views usually associated with MMs. Despite this, index and ETF positioning is mostly in alignment with the underlying directional view for that commodity.

Despite the edging and relative value trading activity, positioning in the MM category can be interpreted as one of the ‘purest’ categories in terms of it being representative of the underlying price view in the commodity. MM traders are also mostly all aligned in their objective of generating positive returns in the commodity.

This generates the important question of whether MMs have any skill in their approach, and by extension, whether changes in their positioning are useful in predicting commodity price direction. Anecdotally, it is widely assumed that they do, and this is analysed in detail on a commodity-specific basis in Chapter 3.

1.3.3.3 The SD Category – Difficult to Define The SD category is difficult to disentangle because any swap position that is hedged using futures will fall into this category. This means that a hedge fund speculating on an increase in the price of Brent using a lookalike, an airline locking in its fuel prices using a Brent swap, or a sovereign wealth fund with long-term exposure to Brent prices via a commodity index will all fall in the long SD category for Brent.¹⁰ It is also the swap dealer (typically a bank) that reports the position to the CFTC as the underlying futures position is taken by the swap dealer. This means that positions are typically netted off, making it even harder to interpret.

The majority of SD activity is commercially driven, but with the recent proliferation of position limits, many speculators have been forced to turn to the swap market to avoid these restrictions.¹¹ This trend is, however, being partially offset by many of the largest index investors, including pension funds and endowments that previously invested in commodity indices exclusively via swaps, turning to the futures market to replicate the indices themselves. Their objective is to reduce counterparty risk and/or to increase the flexibility they have over their exposure.

The varied activity in the SD category means that it is the least reliable category in helping to understand commodity price and sentiment dynamics. Moreover, commodity swap index exposure can be a large component of the SD category, particularly in the smaller markets, which can change significantly as portfolios rebalance and asset allocation models change. This means that changes in SD positioning may not always be directly driven by, or reflective of, market views. In the Supplemental Report, index positions drawn from the non-commercial and commercial categories, are provided for selected agricultural markets, which can help identify the index activity. This is explained further in Chapter 2.

Changes in the SD and PMPU positions are often related when swap positions are linked to hedging. Due to differences between futures and swaps, however, different PMPU and SD

¹⁰Jet fuel, for example, is often hedged using Brent.

¹¹Many commodity exchanges impose specific position limits, to curb excessive speculation by restricting the exposure in specific contracts. It is typically the contracts at the front of the curve that are most impacted.

positioning profiles can be useful in understanding different hedging dynamics in a market. It is also true to say that the choice of hedging instrument, a swap or a future contract, can be a function of the size of the company looking to do the hedge. Some examples are as follows:

- A small or developing oil producer looking to secure financing will typically use a swap to lock in prices for future oil sales and to provide some stability. It is also common to have the swap position tied into the financing deal to reduce risk in the financing.
- Smaller companies often prefer swaps as the cash management of the hedge position can be less demanding than an equivalent futures position. A small producer (consumer) will have to finance a short (long) position if the forward curve is backwardated (in contango) as the short (long) futures rolls up (down) the curve. This can be demanding on cash flow.
- Larger companies often prefer to use futures in order to reduce counterparty risk and increase flexibility. Cash management here is less of an issue as many of these companies typically use credit lines to finance their futures position.¹²

The type of hedging activity can also be important in choosing between swaps and futures:

- A company with oil storage facilities is often more likely to use futures to hedge and manage its inventory, as futures can often be more flexible and cost-effective.¹³

These examples are by no means always the case, as companies can flip between using swaps and futures at different times for many reasons. Considering the diversity of swap users, however, and how easily speculative and index activity can cloud this category, it is mostly true to say that changes in the PMPU category give more reliable insights into consumer and producer activity. Consequently, throughout this book, the PMPU long (short) positions are almost always used to proxy consumer (producer) activity.

1.3.3.4 The OR Category – Becoming Increasingly More Significant The OR category is a broad category and includes ‘every other reportable trader that is not placed into one of the other three categories’. It is likely that most of the activity in this category is speculative in nature – specifically speculation that is done with proprietary capital. OR speculation is different from MM speculation within the Disaggregated COT report as the MM category relates explicitly to the management of third-party assets. The OR category therefore mostly includes corporates and trade houses speculating with their own capital (using their balance sheet, for example) and large private investors.

If a trader classified in the OR category undertakes hedging activity to any meaningful degree, it is likely that they will ultimately be re-classified into the PMPU or indirectly into the SD category, or they may establish a separate entity for hedging. The motivation to do this is that

¹²Swap trading is an OTC (over-the-counter) transaction and therefore entails counterparty risk. By trading futures directly, this risk is transferred to the clearing house and is therefore negligible.

¹³Changes in the PMPU short position are often closely related to changes in inventory – the larger the inventory, the larger the hedge needs to be, as explained in Section 1.3.3.1.

legitimated hedging activity typically means that lower initial margins can be paid, making it more cost-effective.¹⁴

The level of speculative activity in the OR category and the size of the category means that it is often sensible to consider or to include OR data in the analysis of speculative positioning data. The OR category is becoming increasingly more significant as a positioning category, and more closely watched. As such, it is also starting to influence market sentiment – especially in the oil market.

1.3.4 Concerns About the ‘Age’ of Positions

Long-term investment positions – for example, positions that underpin commodity indices and commodity ETFs and long-term hedging positions – can make certain positioning profiles and patterns very difficult to interpret, especially as notional values change over time.

Many of the analytics in this book, however, only focus on changes in positioning or make use of dynamic short-term ranges. In many cases, the data is also normalised in a variety of ways. Collectively, this mitigates some of these concerns and this is discussed in detail where relevant throughout the book.

1.4 Futures and Options Data

Combined futures and options open interest is also reported in the CFTC and ICE COT reports, where options positions are included on a delta-adjusted basis. On the LME, only combined futures and options data is reported.

Combined futures and options data is generally unsatisfactory because positioning can change without any trading activity if the underlying market changes. An out-of-the-money long-call (put) position, for example, will ‘increase’ as the delta increases if the market rises (falls). This implies that traders have increased their long (short) futures positioning, when they may not have, and indeed could even have reduced it. The opposite applies to short option positions.

As options positions are included in a delta-adjusted capacity, it makes it difficult to reliably use the combined futures and options data in Positioning Analysis. One solution is to use the number of options traders, calculated by subtracting the number of futures-only traders from the number of futures and options combined traders. Whilst this does not give any indication of the option position size, it provides some insight into the number of options traders which can be useful in sentiment analysis.

There are also several other option-related factors that make it difficult to understand the underlying view in the market, and which make the use of option-related positioning data unsatisfactory:

- Options traders may be trading volatility or using options in combination with futures to delta trade the market. This type of trading activity is typically agnostic of market direction, which makes it challenging to use in Positioning Analysis.

¹⁴Initial margin refers to capital or deposit per futures contract that needs to be paid to the broker and clearing house to be able to hold the position. For hedgers, this amount is typically less than for speculators due to hedge margining, as hedging activity is considered less risky than speculative activity.

- Traders can use options to hedge other positions that they may not want to liquidate. Whilst this is useful information, potentially indicating a shift in sentiment, and perhaps a change in future market direction, the positions can be challenging to disentangle.
- Speculators often use options to bet on price spikes and other low-probability but high-reward scenarios. This type of activity can obscure current trends and patterns.
- Options are often used by firms for corporate risk management reasons. This type of trading activity can sometimes be significant and may have nothing to do with their daily trading or hedging activity. It can nonetheless cloud other positioning data.
- As option trades tend to be 'stickier' than futures trades, a degree of asymmetry is introduced when looking at changes in options positioning. This means that a trader might buy a call option because they are bullish, but they may not sell it when the market falls or if they change their view. Instead, the position will typically be left to expire worthless.
- By extension, the risk management of an options position is also different from the risk management of futures. Options positions, for example, rarely have stop losses, whilst losing futures trades are often swiftly liquidated.
- Options are used in structured products that can have complicated payoff structures. Understanding the view behind a series of structured products based on options position would be extremely challenging.

For these reasons, options tend to complicate Positioning Analysis. The combined futures and options data is therefore rarely used in this book.